

conditions of the vesting period for management and employees, including continued employment within the Group and the Company, expected performance, and recognizes provisions for expected personnel-related tax payments accordingly. See Note 5.

In determining the grant-date fair value of share-based payments, Group management applied significant professional judgement in evaluating available market data. Since both INDEXO and AS DelfinGroup are publicly listed companies, the share price at the grant date, along with other relevant market data, is used as a key input in determining fair value. The fair value estimate is the main source of estimation uncertainty, as it is sensitive to assumptions regarding the share price, expected volatility, and the risk-free interest rate.

At the end of each reporting period, the management of the Group and the Company makes a significant estimate of the expected grant to be used by individually assessing the probability of exercise of share options. This assessment takes into account factors such as expected operational performance during the vesting period, including tenure within the Group and the Company, performance, and potential forfeiture of grants. Accordingly, the Group and the Company recognize provisions for expected personnel-related tax payments, which depend on the estimated exercise rate of the grant and future tax law.

In accordance with IFRS 1.125 and 1.129, the Group discloses a sensitivity analysis, showing how reasonable changes in key assumptions (e.g., share price volatility or estimated exercise rate of the grant) could materially affect share-based payment expenses. Further details are provided in Note 5.

2.2. Significant Policies

1. Basis of Consolidation

Subsidiaries

Subsidiaries are entities controlled by the Group. The Group controls an entity when it has the right to, or receives, variable returns from its investment in that entity and can affect the amount of those returns through its power over the entity. The financial statements of subsidiaries are included in the consolidated financial statements from the date control is obtained until the date control ceases.

For practical reasons, when the Group acquires control over an entity, a "convenience date" may be used, as permitted under IFRS 3. This means that if the actual date of obtaining control differs from the Group's selected practical date, the Group uses the practical date for consolidation and acquisition accounting, provided that no transactions or events occurred between these dates that would materially affect the financial position or operating results of the acquired entity.

Investments in subsidiaries are recorded in the Company's separate financial statements at acquisition cost, less any impairment losses, if applicable.

Loss of Control

When the Group loses control over a subsidiary, it derecognizes the subsidiary's assets and liabilities, along with any related non-controlling interests and other equity components. Any gain or loss arising is recognized in profit or loss. If the Group retains an interest in the former subsidiary, such interest is

measured at fair value at the date control is lost.

Transactions Eliminated in Consolidation

In preparing these consolidated financial statements, intercompany balances and transactions of Group entities, as well as unrealized gains on transactions between Group companies, have been eliminated. Unrealized losses are eliminated in the same manner as unrealized gains, but only to the extent there is no evidence of impairment.

Uniform Group Accounting Policies

In preparing the consolidated financial statements, the financial statements of Group entities applying accounting policies different from the Group's policies are adjusted to conform to the Group's accounting policies.

Associates

Investments in associates are accounted for using the equity method in the consolidated financial statements.

2. Assets under Management

The Group and the Company manage and administer assets on behalf of their clients, which are held in custodian bank securities and cash accounts. Financial information relating to these assets is not included in these financial statements, as the risks and rewards associated with these assets are entirely attributable to the Group's and the Company's clients. Accordingly, these assets are not recognized as assets of the Group or the Company. For informational purposes, assets under management are included in these financial statements; see Note 40.

3. Intangible Assets and Property, Plant, and Equipment

Intangible assets and property, plant, and equipment are stated at cost, less accumulated depreciation and accumulated impairment. Cost includes expenditures directly attributable to the acquisition of the intangible asset or property, plant, and equipment.

Depreciation Rates Applied for Intangible Assets and Property, Plant, and Equipment Using the Straight-Line Method:

	Years
Software	5
Equipment	3
Computers	3
Furniture	3
Other fixed assets and inventory	3-5
Buildings and constructions	20
Long-term investments in leased fixed assets	1-19
Right-of-use for premises	1-19
Right-of-use for vehicles	3-4
Intangible contractual assets	7
Fair value revalued intangible assets	5
Fair value revalued intangible contractual assets	7
Fair value revalued receivables from loans issued	4

All intangible assets are IT investments. IT investments are used in the operations of the Group and the Company to support client acquisition and service, including the mobile application and various other systems. For more detailed information, see Note 19 and 20.

The Group tests intangible assets for impairment at least annually and whenever there are indications that an intangible asset may be impaired. Any impairment losses are recognized as expenses in the profit or loss statement for the period in which they occur. When subsidiaries are disposed of, the profit or loss on disposal includes the carrying amount of intangible assets related to the sold subsidiary.

Software maintenance costs are recognized in profit or loss in the period in which they are incurred. Software installation and customization costs that are directly attributable to identifiable and unique software products controlled by the Group and the Company are recognized as intangible assets if the following criteria are met:

- It is possible to use or sell the software;
- It can be demonstrated that the software will generate future economic benefits; and
- The costs associated with acquiring the software can be measured reliably.

Current repair and maintenance costs of fixed assets are included in profit or loss for the period in which they are incurred.

Gains or losses from the disposal of fixed assets are calculated as the difference between the carrying amount of the asset and the proceeds from sale, and are included in profit or loss for the period in which they occur.

Capital repair costs of leased fixed assets are amortized on a straight-line basis over the shorter of the useful life of the improvements and the lease term. Current repair and maintenance costs of fixed assets are included in profit or loss for the period in which they are incurred.

The residual values, useful lives, and depreciation methods of assets are reviewed and adjusted, if necessary, annually.

Goodwill

Goodwill represents the excess of the cost of acquiring a subsidiary over the fair value of the identifiable net assets of the subsidiary at the acquisition date. Goodwill arising from the acquisition of subsidiaries is included in intangible assets.

Goodwill reflects the excess of the cost of a business combination over the Group's share in the fair value of the acquired identifiable assets, liabilities, and contingent liabilities. The cost includes the fair value of the transferred assets, assumed liabilities, and issued equity instruments, plus any non-controlling interest in the acquired company, as well as the fair value of any previously held interest in the acquired company if the business combination is achieved in stages.

Contingent consideration is included in the cost at its fair value at the acquisition date, and if classified as a financial liability, it is subsequently remeasured through profit or loss.

Goodwill is allocated to cash-generating units and is recorded at cost less any accumulated impairment losses.

Impairment tests for goodwill are conducted annually, or more frequently if events or changes in circumstances indicate that the asset may be impaired. Goodwill is carried at cost less accumulated impairment losses.

Gains or losses on the disposal of a subsidiary include the carrying amount of goodwill attributable to the sold subsidiary.

Negative goodwill arising on an acquisition is recognized in the consolidated profit or loss at the acquisition date.

Impairment losses on goodwill are not reversed.

In 2025, the fair value of the identifiable net assets of each subsidiary was assessed at the acquisition date. As a result, fair value adjustments were made to the following asset items (see Note No. 18).

For the subsidiary AS DelfinGroup:

- 1) Receivables from loans issued;
- 2) Intangible assets.

For the subsidiary IPAS VAIRO:

- 1) Intangible contractual assets.

The fair value adjustments made will be amortized in accordance with the Group's accounting policies (see Note No. 2, section "Intangible Assets and Fixed Assets").

4. Inventories

Inventories consist of card plastics, goods for resale, and gold products that are purchased and held for further sale. The Group uses the perpetual inventory method for inventory accounting.

Inventories are measured at cost. At the end of each reporting period, the Group assesses whether there is objective evidence of a decline in the value of inventories and creates provisions for slow-moving or damaged stock. Inventory losses are recognized at the time they are identified by writing off the respective inventories in the profit or loss statement for the period.

Inventories are measured at the lower of cost or net realizable value. For the usage of card plastics, cost and remaining value are determined using the FIFO (First In, First Out) method.

5. Leases

Classification

At the inception of a contract, the Group and the Company assess whether the contract is, or contains, a lease. A contract is, or contains, a lease if it conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

Lessee

A lease is recognized as a right-of-use asset and a corresponding lease liability on the date the leased asset becomes available for use by the Group and the Company. The cost of the right-of-use asset comprises:

- The initial measurement of the lease liability;
- Any lease payments made at or before the commencement date, less any lease incentives received;
- Any initial direct costs.

Restoration costs related to dismantling and restoring the underlying asset are separately classified as provisions and the related assets.

Depreciation is calculated on a straight-line basis from the commencement date of the lease to the end of the lease term, unless it is expected that the asset will be purchased. The right-of-use asset is periodically reduced by impairment losses, if any, and adjusted for remeasurement of the lease liability.

Assets and liabilities arising from leases are measured at the present value of remaining lease payments, discounted using the Group's and Company's incremental borrowing rate at the initial application date, based on the Latvijas Banka domestic lending rate for enterprises at the initial recognition date. Lease liabilities are remeasured if future lease payments change due to a change in an index or rate used to determine these payments, if the Group's and Company's estimate of expected payments changes, or if the Group and the Company change their assessment of exercising purchase options, extending, or terminating the lease. When lease liabilities are remeasured, a corresponding adjustment is made to the carrying amount of the right-of-use asset or recognized in profit or loss if the carrying amount of the right-of-use asset is reduced to zero.

Each lease payment is allocated between the lease liability and interest expense on the lease liability. Interest expense on lease liabilities is recognized in profit or loss over the lease term to produce a constant periodic interest rate on the remaining lease liability for each period.

Right-of-Use Assets

The Group recognizes right-of-use assets at the commencement date of the lease (i.e., the date when the underlying leased asset is available for use). Right-of-use assets are measured at cost, less accumulated depreciation and impairment losses, and adjusted for any remeasurement of the lease liability. The cost of right-of-use assets includes the recognized lease liability, initial direct costs, and lease payments made at or before the commencement date, less any lease incentives received. If the Group is not reasonably certain to obtain ownership of the leased asset at the end of the lease term, the recognized right-of-use assets are depreciated on a straight-line basis over the shorter of the asset's estimated useful life or the lease term. Right-of-use assets are tested for impairment.

Lease Liabilities

At the commencement date, the Group recognizes lease liabilities measured at the present value of lease payments over the lease term. Lease payments include fixed payments (including significant fixed components), less any lease incentives receivable, variable lease payments that depend on an

index or rate, and amounts expected to be payable under residual value guarantees. Lease payments also include the exercise price of purchase options if the Group reasonably expects to exercise the option, and penalties for lease termination if the lease term reflects that the Group will exercise the termination option. Variable lease payments that are not dependent on an index or rate are recognized as expenses in the period in which the event or condition that triggers the payment occurs.

To calculate the present value of lease payments, the Group uses its incremental borrowing rate at the lease commencement date if the interest rate implicit in the lease is not readily determinable. After the commencement date, the lease liability is increased to reflect interest accrual and reduced by lease payments made. Additionally, the carrying amount of the lease liability is remeasured if there are changes in the lease term, changes in fixed lease payments, or changes in the assessment of the purchase option for the underlying asset.

Short-Term Leases and Leases of Low-Value Assets

Lease payments related to short-term leases or leases of low-value assets are recognized as expenses on a straight-line basis in profit or loss. A short-term lease is a lease that, at the commencement date, has a lease term of 12 months or less. For more details, see Note 22.

The Group applies the short-term lease recognition exemption to leases with a term of 12 months or less from the commencement date that do not contain a purchase option. This also applies to the low-value asset recognition exemption for leased equipment considered low-value (i.e., less than EUR 4,500). Lease payments for short-term leases and leases of low-value assets are recognized as expenses on a straight-line basis over the lease term.

6. Investments in Subsidiaries and Associates (Company)

Investments in subsidiaries (i.e., companies in which the Company owns more than 50% of the share capital or otherwise controls) are initially recognized at cost, less any impairment losses.

After initial recognition, investments in subsidiaries are carried at cost, less any impairment losses.

If there is objective evidence that the carrying amount of an investment in a subsidiary has been impaired, the impairment loss is calculated as the difference between the carrying amount of the investment and its recoverable amount. The recoverable amount is determined as the higher of the investment's fair value, less costs to sell, and its value in use. Impairment losses on investments may be reversed if the estimates used to determine the impairment have changed since the last recognition of an impairment loss. The assumptions applied are described in detail in Note 18.

Dividends received from subsidiaries are recognized when the Company's right to receive them is established.

Associates are entities over which the Company has significant influence or joint control. Typically, the Company holds 20% to 50% of the voting shares. Investments in associates are initially recognized at cost and subsequently accounted for using the equity method.

7. Revenue and Expense Recognition

Interest Income and Similar Income

Interest income and expenses are recognized in the comprehensive income statement using the effective interest rate (EIR) method.

For debt financial assets measured at amortized cost, the Group calculates interest income by applying the EIR to the gross carrying amount of the financial assets, except for assets with credit-impaired status. The EIR is the rate that exactly discounts estimated future cash flows or receipts over the expected life of the financial instrument, or, if appropriate, a shorter period to the net carrying amount of the financial asset or liability. The calculation considers all contractual terms of the financial instrument and includes all fees or incremental costs directly attributable to the instrument that are an integral part of the EIR, but excludes future credit losses. The carrying amount of a financial asset or liability is adjusted if the Group revises its estimates of future cash flows. The adjusted carrying amount is calculated based on the original EIR, and changes in carrying amount are recognized as interest income or expense.

When a financial asset is impaired, the Group calculates interest income using the effective interest rate applied to the asset's amortized net carrying amount. If the financial asset's condition improves and it is no longer credit-impaired, the Group returns to calculating interest income on a gross basis. For purchased or originated credit-impaired (POCI) financial assets, the Group calculates interest income using the credit-adjusted EIR applied to the amortized cost of the asset. The credit-adjusted EIR is the rate that, at initial recognition, discounts estimated future cash flows (including credit losses) to the amortized cost of the POCI asset.

Interest income on pawn loans is calculated by applying the nominal interest rate to the gross carrying amount of the pawn loan. Interest is recognized for performing pawn loan portfolios until the loan becomes non-performing.

8. Interest Expenses and Similar Costs

The effective interest rate on financial liabilities is calculated at initial recognition. Interest expense is calculated by applying the EIR to the gross carrying amount of the liability. The EIR is periodically adjusted to reflect changes in cash flows from variable-rate instruments due to market interest rate changes.

Fees for managing the State-Funded Pension Scheme (SFPS) and private pension plans are calculated as a percentage specified in the plan prospectus of the average net asset value of the plan during the reporting period. Management fees are accrued daily, with settlements made monthly. Revenue received by the Company for asset management is recognized over time as the related performance obligations are satisfied, without requiring significant judgment to determine the transaction price or the completion of performance obligations.

Accrued income or contract assets at each period-end are presented under "Other Assets."

When determining the management fees for private pension plan and SFPS funds, the Company considers the maximum fee limits established in Cabinet Regulation No. 765 "Procedure for calculating and accounting management fees for state-funded pension scheme funds."

Other commissions and income and expenses are recognized when the related service is provided.

9. Other Income

Other income is recognized on an accrual basis when services are performed.

Revenue from contracts with customers is recognized when the Group satisfies a performance

obligation by transferring control of the promised goods or services to the customer. Control transfer is primarily indicated by the transfer of risks and rewards under the delivery terms. The Group typically satisfies its performance obligations at a point in time. Revenue allocated to performance obligations satisfied over time is not material. When a performance obligation is satisfied, the transaction price allocated to that obligation is recognized as revenue. The transaction price is the amount the Group expects to be entitled to in exchange for transferring promised goods or services to the customer. It is allocated to performance obligations in the contract based on the relative stand-alone selling prices of promised goods or services. Revenue is presented net of indirect taxes, such as VAT, penalties, and discounts.

Revenue from the sale of goods and precious metals includes the sale of short-term use goods and precious metals through the Group's branch network and online store. For retail customers, revenue is recognized at the point of control transfer, i.e., when the customer purchases goods in-store or when goods are shipped in online sales. Payment of the transaction price is due immediately at the time of purchase.

Other revenue includes revenue from providing pawn services—commission income for the storage of pawn collateral and the sale of collateral from non-performing pawn loans. Performance obligations are satisfied over time, and payment is typically made upon repayment of the pawn loan or through the sale of collateral from non-performing loans.

Dividend income is recognized when the Group's right to receive the dividend is established. Dividends are presented under "Other Income" and are recognized at gross value.

10. Expenses

Expenses are recognized on an accrual basis in the period in which they are incurred, regardless of the invoice payment date.

11. Foreign Currency Transactions

Transactions in foreign currencies are converted into the functional currency (EUR) at the European Central Bank (ECB) reference rate published on the transaction date. Monetary assets and liabilities denominated in foreign currencies are translated into the functional currency at the ECB reference rate published on the reporting date.

	31.12.2025	31.12.2024
	1 EUR	1 EUR
USD	1.175	1.04

Foreign currency gains or losses on monetary items are determined as the difference between the amortized cost of the items in the functional currency at the beginning of the period - adjusted for interest income or expenses recognized during the period using the effective interest rate and for any payments received or made - and the amortized cost of the items in the foreign currency at the end of the period, translated using the ECB reference rate published at the end of the period.

Gains or losses resulting from foreign exchange rate fluctuations are recognized in the comprehensive income statement. At the end of the reporting period, the Group and the Company do not hold any foreign currency-denominated assets or liabilities.

12. Financial Instruments

Initial Recognition and Measurement

Financial assets and financial liabilities are recognized in the statement of financial position on the date when the contractual terms of the instrument become binding on the Group and the Company. All regular purchases and sales of financial assets are recognized on the settlement date, which is the date the financial asset is received or delivered.

Financial assets or financial liabilities are initially measured at fair value, including transaction costs directly attributable to the acquisition of the financial asset or liability.

After initial recognition, expected credit losses are recognized for financial assets measured at amortized cost, resulting in impairment losses on financial instruments being recognized in profit or loss.

If the fair value of a financial asset or liability differs from the transaction price at initial recognition, the Group and the Company account for the difference as follows:

- If the fair value can be determined using a quoted price in an active market for an identical asset or liability (i.e., Level 1 of the fair value hierarchy), or based on a valuation technique that uses only observable market data, the difference is recognized in profit or loss.
- In all other cases, the difference is deferred, and the period for recognizing the deferred day-one profit or loss is determined individually. It may be amortized over the life of the instrument, deferred until the fair value can be determined using observable market data, or recognized at realization.

Classification and Subsequent Measurement

Financial Asset Classification

At initial recognition, the Group and the Company classify all financial assets based on:

1. The business model under which the assets are managed, and
2. The contractual cash flow characteristics of the financial asset (SPPI criterion - whether the cash flows consist solely of principal and interest on the outstanding principal).

Under IFRS 9, classification is determined by assessing:

- Whether financial assets are held to collect contractual cash flows (HTC);
- Whether assets are held both to collect contractual cash flows and for sale (HTCS);
- Whether assets are held for trading purposes (TRD).

Based on the business model and the SPPI criterion, financial assets are classified into one of the following measurement categories:

- Amortized cost (AmC);
- Fair value through other comprehensive income (FVOCI);
- Fair value through profit or loss (FVTPL).

Within the Group's and the Company's business model, financial assets are primarily held to collect contractual cash flows and meet the SPPI criterion. Accordingly, such financial assets, including securities, are classified and measured at amortized cost (AmC).

Financial assets and liabilities in the statement of financial position are classified as current or non-current based on the expected realization or settlement of contractual cash flows. Expected credit loss

(ECL) allowances are presented in the same maturity category as the corresponding financial assets to which they relate.

Financial Assets Measured at Amortized Cost

This category includes, for example:

- Consumer loans;
- Mortgage loans;
- Receivables from counterparties;
- Receivables from issuers;
- Trade receivables;
- Technical overdrafts;
- Cash and cash equivalents (where applicable).

These assets are subsequently measured at amortized cost using the effective interest rate (EIR) method and are subject to the IFRS 9 expected credit loss (ECL) model.

A consumer loan is a type of credit granted to individuals to finance personal expenses without collateral, typically used for urgent purchases, household needs, or existing debt consolidation.

A current account overdraft is a short-term loan allowing account holders to withdraw more than the available balance, usually with applicable interest and defined repayment terms.

A mortgage loan is a long-term loan provided to individuals for the purchase, construction, or significant renovation of real estate. The loan is secured by a pledged property serving as collateral for repayment. The Bank currently offers refinancing of existing mortgage loans previously taken with another creditor.

Financial Assets at Fair Value Through Profit or Loss (FVTPL)

Financial assets classified at fair value through profit or loss include equity investments and pawn loans.

Equity instruments are instruments that meet the definition of equity from the issuer's perspective; that is, instruments that do not contain contractual obligations to deliver cash or other financial assets and represent a residual interest in the issuer's net assets. Examples of equity instruments include ordinary shares. The Group and the Company measure all equity investments at fair value through profit or loss. Dividends, when they represent a return on such investments and the Group and the Company have established rights to receive them, are recognized in profit or loss.

Expected Credit Losses on Financial Assets

The expected credit loss (ECL) is calculated by considering the probability of default (PD), the exposure at default (EAD), loss given default (LGD), and the timing of losses.

Probability of Default (PD) reflects the likelihood that a loan will not be repaid and obligations will not be fulfilled within the next 12 months (for Stage 1 financial instruments) or over the instrument's lifetime (for Stage 2 and Stage 3 financial instruments). When estimating PD for each individual instrument, client categories and relevant external historical information are considered to incorporate reasonable forward-looking economic conditions.

Exposure at Default (EAD) represents the estimated credit exposure at the time of default and is modeled each time the ECL is calculated.

Loss Given Default (LGD) reflects the portion of the exposure that is not expected to be recovered in the event of default and is determined considering collateral and recovery prospects.

The maximum period over which ECL is assessed is the maximum contractual term during which the Group and the Company are exposed to credit risk.

The ECL calculation incorporates macroeconomic factors affecting credit risk development. Forward-looking information (FLI) adjustments to the ECL are made based on historical correlations between key macroeconomic indicators and default probability, using expert judgment and external data sources. At minimum, a base scenario and one adverse scenario are used for FLI assessment.

In accordance with IFRS 9, the Group applies a specific approach for calculating ECL on loans issued by Group companies operating in consumer lending. Expected credit losses are determined based on historical data from the Group companies, calculating the probability of default (PD) according to the defined default criteria and loss given default (LGD) ratios, taking into account recoveries from non-performing or defaulted loans, including Stage 3 loans.

Credit Portfolio (Consumer and Mortgage Loans) ECL Model

The Group uses a collective ECL model for loans, including those in Stage 3. This model is applied to homogeneous groups of retail loans, such as consumer and mortgage loans, as individual assessments would be disproportionately costly relative to potential losses.

For mortgage loans, LGD is determined individually for each loan based on the characteristics of the collateral property (market value, liquidity, realization costs), which provides greater model granularity and accuracy.

Sources of PD / LGD / EAD

PD is determined using historical data. When historical data for a particular loan portfolio is insufficient, PD is estimated using external sources, including Credit Information Bureau (KIB) data and the EBA Risk Dashboard, adjusted for forward-looking macroeconomic information. For Stage 3 assets, PD is set at 100%.

LGD estimation considers historical and statistical data, as well as collateral quality, value, and other factors affecting cash flows from collateral realization. Where historical data is insufficient, external sources such as the EBA Risk Dashboard are also used.

EAD is modeled each time the ECL is calculated, based on the payment schedule in the loan agreement.

Stages and Significant Increase in Credit Risk (SICR)

The Group and the Company apply the expected credit loss (ECL) model to financial instruments within the scope of the impairment model as follows:

1. Stage 1 - Financial instruments with no significant increase in credit risk. These are instruments for which credit risk has not increased significantly since initial recognition or for which credit risk is considered low (e.g., an external credit rating of BBB- or better is considered low credit risk). ECL is calculated as the 12-month expected credit loss, i.e., the expected losses over the next 12 months.

2. Stage 2 - Financial instruments with a significant increase in credit risk (SICR). These instruments have not yet incurred a credit loss but have experienced a significant increase in credit risk since initial recognition. ECL is calculated as the lifetime expected credit loss, i.e., expected losses over the entire remaining contractual life of the instrument.
3. Stage 3 - Credit-impaired financial instruments. These are instruments that are credit-impaired. ECL is calculated as the lifetime expected credit loss, similar to Stage 2, but the instrument is considered impaired.

At each reporting date, the Group and the Company assess whether the credit risk of a financial instrument has increased significantly since its initial recognition by analyzing changes in the probability of default over the instrument's expected life.

The Group has established a uniform policy for identifying significant increases in credit risk (SICR), while applying different approaches in the Group's subsidiaries according to their operational specifics and the risk assessment tools used.

Loans are classified in Stage 2 if, based on quantitative and qualitative risk indicators, including the evaluation of payment discipline, a significant increase in credit risk is identified, whereas payment delinquencies of 31 to 90 days are used in the Group as a general backstop indicator to ensure consistent classification and compliance with IFRS 9 requirements.

One of the main indicators of a significant increase in credit risk is changes in the probability of default (PD), which are determined by comparing the PD at the reporting date with the PD at the time of initial recognition of the asset.

Additional indicators that may signal a significant increase include:

- deterioration of the internal credit risk rating; or
- financial assets classified as financial assets on the watchlist; or
- modified financial assets (loan agreement terms have been revised and concessions granted due to the client's financial difficulties).

If the credit risk later decreases to the extent that the signs of a significant increase disappear, the instrument is moved back to Stage 1, applying the Bank's prescribed cure period.

Definition of Non-Performance of Obligations

Financial instruments for which obligations are not fulfilled are included in Stage 3. For accounting purposes, the bank applies the definition of non-performance of obligations as set out in the capital requirement regulation (Regulation (EU) No. 575/2013, the European Parliament and Council Regulation on prudential requirements for credit institutions and investment firms, amending Regulation (EU) No. 648/2012, Article 178), namely, financial assets for which payment is overdue for more than 90 days. It is assumed that the credit value of all financial assets in Stage 3 has decreased. It is considered unlikely that the borrower will be able to fully meet the credit obligations without collateral, regardless of the overdue amounts and the number of days overdue. The company and the group make this conclusion based on a regular or ad-hoc analysis of the borrower.

ECL for Receivables from Transaction Partners

Receivables from transaction partners are not discounted because discounting has no significant

impact on the financial statements.

The repayment of transaction partner's credit obligations in case of default depends on the creditworthiness of the transaction partners, which is characterized by the assigned credit rating. Therefore:

- LGD is determined based on the recovery rate published by the credit rating agency Moody's for the amount of credit obligations to be recovered in the event of default, according to the assigned credit rating and the remaining term of the receivables;
- PD is determined based on the average default probabilities published by the credit rating agency Moody's according to the assigned credit rating and the remaining term of the receivables, with the data updated annually by Moody's.

If a transaction partner does not have a credit rating from the Moody's credit rating agency, the ratings assigned by Fitch or Standard and Poor's are used for that partner. If two external ratings are available and they differ, the lower one is used. If more than two ratings are available, the two lowest ratings are used, and if they differ, the higher of the two is used. If a transaction partner does not have an individual rating but belongs to a group of related parties, the applicable rating is determined based on the parent company's rating (if any) and the transaction partner's country rating (if any), choosing the lowest rating.

Debtors and Technical Overdrafts ECL

When determining the ECL for debtor receivables and technical overdrafts, they are divided into two main groups based on the type of debtor: individuals and legal entities. ECL is calculated using the PD * EAD * LGD approach. Discounting is not applied because it has no significant impact. Given that the bank lacks sufficient historical data to calculate PD and LGD, they are determined based on external data sources such as the EBA Risk Dashboard.

Amortized Cost and Effective Interest Rate Method

Amortized cost ("AmC") is the amount at which a financial instrument is initially recognized, minus any principal repayments, plus accrued interest, and for financial assets, minus any expected credit loss provisions. Accrued interest includes the amortization of transaction costs that were deferred at initial recognition and any premiums or discounts to be amortized over the life of the instrument using the effective interest rate method.

The effective interest rate method is a method of allocating interest income or interest expenses over the relevant period in such a way as to achieve a constant periodic interest rate (the effective interest rate) on the carrying amount of the financial instrument.

For assets acquired or originated with credit losses ("POCI"), the effective interest rate is adjusted for credit risk, i.e., it is calculated based on the expected cash flows at initial recognition, rather than contractual payments.

Financial assets are written off either fully or partially when all practical recovery measures have been exhausted and it is concluded that there is no reasonable expectation of recovery. Write-off is a derecognition event.

Financial Liabilities

All financial liabilities are recognized at fair value, and in the case of borrowings, less directly attributable transaction costs. After initial recognition, interest-bearing financial liabilities are recognized at amortized cost using the effective interest rate (EIR) method. Gains or losses are recognized in profit or loss when the liability is derecognized, as well as using the effective interest rate method. The amortized cost is calculated considering any acquisition discounts or premiums, as well as any fees or costs that are an integral part of the EIR. The amortization of the EIR is included in profit or loss as net interest income. Liabilities measured at amortized cost include payables to creditors.

Derecognition

The recognition of a financial asset is derecognized when the contractual rights to receive cash flows from the financial asset have expired or when the bank has transferred all the associated risks and rewards of ownership. Any compensation or liabilities that arise or are retained as a result of the transfer are recognized as a separate asset or liability.

The bank derecognizes a financial liability when it is extinguished, that is, when the liability is settled, cancelled, or has expired.

Set off

Financial assets and liabilities are set off, and the net amount is presented in the financial position statement when there is a legal right to do so, and the bank intends to settle on a net basis or realize the asset and settle the liability simultaneously.

13. Fair Value of Financial Assets and Liabilities

The fair value of assets and liabilities is the price at which an asset could be sold or a liability settled in a normal transaction between market participants at the valuation date.

Fair value is the price that would be received for the sale of an asset or paid for the transfer of a liability in a normal transaction between market participants at the valuation date in the principal market, or in the absence of such a market, the most advantageous market to which the Group has access at that date. The fair value of liabilities reflects the risk of non-performance of the obligation.

The fair value of financial assets and liabilities is classified into the following fair value levels:

- Level 1: Unadjusted quoted prices in active markets for identical assets;
- Level 2: Adjusted quoted prices or valuation models using observable inputs from active markets;
- Level 3: Valuation models where significant inputs are not available from markets and are based on internal assumptions.

The best evidence of the fair value of a financial instrument at initial recognition is the transaction price, i.e., the fair value of the consideration paid or received, unless the fair value of the instrument can be proven by comparing it with other observable current market transactions for the same instrument (i.e., without modification or repackaging) or based on a valuation model whose variables include only observable market data.

When the transaction price provides the best evidence of the fair value of a financial instrument at initial recognition, the financial instrument is initially measured at the transaction price, and any difference between this price and the value obtained from the valuation model at initial recognition is recognized in comprehensive income depending on the individual facts and circumstances of the transaction, but no later than when the valuation fully relies on observable market data or the transaction is closed.

Several accounting principles and disclosure requirements for the Group and the Company require the determination of the fair value of financial assets and liabilities. If applicable, additional information about the assumptions used to determine fair value is disclosed in the relevant appendices.

If management believes that the fair value of a financial asset or liability significantly differs from its carrying amount, such fair values are disclosed separately. See also Note 32.

14. Pawn Loans

Pawn loans are collateralized loans without recourse. If the client does not redeem the pledged asset by repaying the secured loan by the end of the contract term, the Group has the right to dispose of the goods to cover the outstanding loan balance. Pawn loans are recognized when funds are disbursed to borrowers, and their recognition is discontinued when income-bearing loans are repaid or non-income-bearing loans' collateral is sold. Given that pawn loans do not meet the SPPI criteria, they are initially recognized and then measured at fair value.

The pawn loan portfolio is divided into two categories: income-bearing and non-income-bearing loan portfolios. The income-bearing loan portfolio includes loans where the repayment term has not yet occurred or loans that have already been extended. The non-income-bearing loan portfolio includes loans that have not been repaid by the write-off date, and repayment depends on the realization of collateral.

15. Other Debtors

Receivables from customers and contractors are recorded and reflected in the balance sheet according to the terms of the contracts, less any provisions for expected credit losses. Provisions for expected credit losses (ECL) on receivables are recognized based on a forward-looking assessment in accordance with IFRS 9, taking into account historical loss rates, current conditions, and reasonable forecasts of future economic conditions. Receivables are written off when their recoverability is considered impossible.

Cash and Cash Equivalents

Cash and cash equivalents are cash in hand and highly liquid assets with an original maturity of less than three months, which the Group and Company use for short-term debt settlement. For the purpose of the cash flow statement, cash and cash equivalents consist of cash on hand, balances in current accounts, and deposits with a maturity of up to 90 days.

16. Accrued Liabilities

The "Accrued Liabilities" item represents the clearly identifiable liability amounts to suppliers of goods and service providers for goods or services received during the reporting period, for which no corresponding payment document has been received by the balance sheet date due to delivery, purchase, contract conditions, or other reasons. This item also includes accrued liabilities for

employees' unused vacation days and variable compensation.

17. Employee Benefits

Short-term employee benefits, including salaries, social insurance contributions, bonuses, and vacation benefits, are recognized as expenses on an accrual basis when the service is provided. Accruals for employees' vacation pay are estimated based on the unused vacation days up to the balance sheet date.

Short-term employee benefits are recorded as expenses when the relevant service is rendered. Liabilities are recognized for the amounts expected to be paid if the Group has a current legal or constructive obligation to pay this amount as a result of the employee's past work, and if this obligation can be reliably estimated.

The Group and Company make mandatory state social insurance contributions for state pension insurance under the Latvian legislation to the state-funded pension scheme. The state-funded pension scheme is a defined contribution pension plan, under which the Group and Company are required to make payments of a specified amount under the law. The Group and Company do not have additional legal or constructive obligations to make further payments if the state-funded pension scheme is unable to meet its obligations to employees. The mandatory social insurance contributions are recognized as expenses on an accrual basis and are included in employee costs.

18. Share-Based Payments

Expenses are recognized as part of employee compensation along with the corresponding increase in equity (share-based payment reserves) over the period in which the service is rendered and the performance conditions are met (vesting period). Cumulative costs recognized at the end of each reporting period for share-based payments settled using equity instruments reflect the past service rendered during the vesting period and the Group's and Company's best estimate of the number of equity instruments that will vest. Costs or income in the comprehensive income statement for the respective period reflect the changes in cumulative costs recognized at the beginning and end of the period.

No expense is recognized for share-based payments that do not vest, as the relevant off-market and/or performance conditions were not met during the vesting period. If share-based payments include market or non-vesting conditions, transactions are accounted for as vested, regardless of whether the non-vesting conditions have been met, as long as all other conditions and/or performance conditions have been satisfied.

If the terms of share-based payments settled using equity instruments are modified, the minimum recognized expense is the fair value of the unmodified compensation at the grant date, provided the initial vesting conditions have been met. Any additional costs determined on the modification date are recognized for any changes that increase the total fair value of the share-based payment or otherwise provide the employee with a benefit. If the Company or employee cancels the share-based payment, any remaining fair value of the share-based payment is immediately recognized in the comprehensive income statement.

Share-Based Payment Agreements For employee share-based payment agreements, the fair value of the equity-settled share-based payment at the grant date is generally recognized as an expense, increasing equity over the vesting period. The amount recognized as an expense is adjusted to reflect

the number of awards for which it is expected that the related service and non-market performance conditions will be met, so that the final recognized amount is based on the number of awards that meet the relevant service and non-market performance conditions at the vesting date. For share-based payments with conditions not related to the granting of rights, the fair value of the share-based payment at the grant date is assessed to reflect these conditions, and no adjustment is made to account for differences between expected and actual outcomes.

19. Corporate Income Tax

The expense for corporate income tax for the reporting period is recognized in the financial statements based on management's calculations in accordance with the tax legislation of the Republic of Latvia. According to the Corporate Income Tax Law of the Republic of Latvia, adopted on July 28, 2017, and effective from January 1, 2018, a 20% rate is applied to the distributable profit.

Corporate income tax is calculated on the distributed profit (20/80 of the amount payable to shareholders). Corporate income tax will be recognized when the decision on profit distribution is made by the subsidiaries and the Company's shareholders. The subsidiaries and the Company also calculate and pay tax on the conditionally distributed profit (20/80 of the calculated tax base), which includes taxable items under the Corporate Income Tax Law, such as non-business expenses, doubtful receivables, and loans to related parties, if they meet the criteria set out in the Corporate Income Tax Law, as well as other expenses exceeding the limits for deduction set by the law. Corporate income tax on conditionally distributed profit is recognized in the comprehensive income statement for the period in which such expenses arise.

20. Taxes

The Group's taxes for the period consist of the calculated corporate income tax for the reporting period and deferred taxes. Current corporate income tax liabilities for the reporting period and prior periods are measured based on the amount expected to be paid to the tax authorities, according to the tax rates and laws in effect at the reporting date or those enacted thereafter. Corporate income tax is calculated on distributed profit or expenses, which are considered to be conditionally distributed profit (20/80 of the net amount payable to shareholders).

In 2024, amendments to the Corporate Income Tax Law were adopted for non-bank credit institutions, which specify that starting from 2024, these institutions are required to pay an additional 20% tax on the previous year's after-tax profit, which is calculated and paid after the submission of the annual report. Therefore, in addition to the tax calculated on the paid dividends, from 2024, expenses for the corporate income tax surcharge will also be recognized, calculated as 20% of the after-tax profit for the reporting year.

The corporate income tax on the distributed profit is recognized when the shareholder makes a decision on the profit distribution, while the tax on conditionally distributed profit and the tax surcharge is recognized in the profit or loss statement for the period in which the tax is calculated. Deferred corporate income tax is recognized based on temporary differences between the carrying amounts of assets and liabilities in the financial statements and their tax bases. Deferred tax liabilities are generally recognized for all temporary differences. Deferred tax assets are recognized only to the extent that it is probable that future taxable profits will be available against which the asset can be utilized. Deferred tax assets and liabilities are not recognized for temporary differences related to intangible assets or the initial recognition of assets or liabilities (except for business combinations) that

do not affect either taxable profit or accounting profit at the time of the transaction.

Deferred income tax assets are reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that the Group will have sufficient future taxable profits to realize these assets, until the estimated amount by which future taxable profits will be reduced. Deferred tax liabilities and assets are measured using the tax rates that are expected to apply when the temporary differences are expected to be settled, based on tax rates (and tax laws) that have been or are substantially enacted by the end of the reporting period. Deferred tax assets and liabilities reflect the tax consequences that the Group expects to incur at the end of the reporting period in order to settle its assets or liabilities.

21. Earnings per Share

Basic earnings per share are determined by dividing:

- the profit or loss attributable to the Company's shareholders, excluding any equity transaction costs, unless they relate to ordinary shares;
- by the weighted average number of ordinary shares outstanding during the reporting period, adjusted for any ordinary share bonus elements and repurchased treasury shares issued during the period.

Diluted Earnings per Share

Diluted earnings per share adjust the result obtained by calculating basic earnings per share to take into account:

- the after-tax impact of interest and other financial costs related to potential additional ordinary shares, and
- the weighted average number of additional ordinary shares that would arise if all potential ordinary shares were converted.

Earnings per Share

Earnings per share are determined by dividing the net profit or loss attributable to the shareholders by the weighted average number of shares outstanding during the reporting year. Diluted earnings per share is calculated by dividing the net profit attributable to shareholders by the weighted average number of ordinary shares in circulation during the year, plus the weighted average number of ordinary shares that would be issued by converting all dilutive potential ordinary shares into ordinary shares.

22. Dividend Payment

Dividends payable to shareholders are recognized as liabilities in the financial statements in the period when the shareholders approve the dividend payment.

23. Segment Information

The Group's and Company's management reviews the results of the Group and has identified two operational segments:

(i) asset management, which includes the assets of the newly acquired subsidiary IPAS VAIRO, and (ii) bank development. See Note 38.

Management primarily uses operating profit before customer acquisition costs to assess the performance of each segment. Monthly, management receives information on segment revenue, net

profit, and assets.

In 2025, the INDEXO Group acquired AS DelfinGroup, and its results were included in the Group's consolidated financial statements as of December 31, 2025. According to this approach, DelfinGroup's balance sheet figures are included in the Group's segment information. However, as the acquisition took place at the end of the year, DelfinGroup's operating results are not included in the profit or loss calculation for the reporting year.

Thus, the segment information in this annual report reflects only the core business revenues and expenses that the INDEXO Group generated prior to the acquisition of DelfinGroup. The Group's management believes that this separation of figures provides more complete and transparent information about the Group's core operations and its actual financial position at the end of the period.

Contingent Liabilities and Assets

In this financial report, contingent liabilities are not recognized. They are only recognized as liabilities when the likelihood of the outflow of resources becomes sufficiently probable. Contingent assets are not recognized in this financial report but are disclosed only when the likelihood of economic benefits arising from the transaction reaching the Company and the Group is sufficiently probable.

2.3. Risk Management

The Group and the Company organize their operations in the area of risk management in accordance with the regulatory frameworks governing the operations of the Group and the Company, as well as by following the strategies and other governing documents of the Group and the Company. The Bank is responsible for overseeing risk management at the Group level, establishing and ensuring the overall risk management framework for the Group, setting the principles and rules for the implementation of risk management strategies, risk assessment, reporting, analysis, management, and control, and overseeing the implementation of these rules and the local risk management functions within the Group's entities.

The Group and the Company identify all significant risks inherent to their activities and develop, document, and implement appropriate policies for managing these risks, including measurement, assessment, control, mitigation measures, and risk reporting and information provision.

The objectives of risk management for the Group and the Company are to:

- Establish and maintain a system for identifying and managing risks within the Group and the Company that minimizes the negative impact of risks on operations and performance as much as possible;
- Identify and define the acceptable level of risks that will help the Group and the Company achieve their strategic goals;
- Set levels of responsibility for the Group and Company's risk management system and its functions;
- Define the structure and methods of the risk management system;
- Ensure compliance with the regulatory requirements governing the Group and the Company's operations.

The risk management system is integrated into the Group and the Company's internal control system,

providing independent risk control and operational compliance functions that are separate from the business functions.

1. Risk Management Structure

The Boards of the Group's companies are responsible for establishing and ensuring the effective functioning of the risk management system, as well as for approving the relevant risk management policies and strategies.

The Management Boards of the Group's companies are responsible for implementing the risk management strategies and policies approved by the Board.

The Group's Risk Director is the Risk Director of the Bank. The Group's Risk Director:

- Leads the Bank's risk control function;
- Ensures the monitoring and continuous improvement of the risk management system within the Group's companies;
- Regularly provides comprehensive and clear information about the Group's and the Company's overall risk profile, all significant operational risks, and their compliance with the risk management strategy to the Bank's Board, Management, and other stakeholders;
- Consults and provides support to the Group and Company Boards in the development of business strategies and in decision-making related to risks associated with the Group and Company's operations.

The Group's companies identify significant risks inherent to their operations, including in the context of capital requirements, and develop risk management policies and procedures. They also ensure compliance with the risk management policies and procedures, including controls for the observance of established limits and restrictions, as well as providing regular reports and information to the Boards and Management of the Group's companies. This allows the Risk Director, the Board, and Management to constantly assess the risks that affect the ability of the Group and the Group's companies to achieve their goals, and to take corrective actions as necessary.

The Bank oversees operational compliance risk at the Group level, setting the basic principles for identifying, assessing, and managing compliance risks within the Group and the Company. The Company's compliance function is responsible for managing compliance risks related to the Company's operations.

The internal audit function provides independent and objective assurance regarding the Group's and the Company's adherence to risk management strategies, policies, and procedures, reporting the results of audits to the Boards of the Group's companies, as well as assessing the effectiveness of the risk management system.

The heads of the Group and the Company's departments and other employees are aware of their duties and responsibilities in the day-to-day management of risks. Within their areas of competence, they regularly report to the Risk Management function on the observance of established limits and restrictions, and participate in the identification, impact assessment, and materiality determination of risks within their areas of competence.